

investors belongs to a trust. The sponsor appoints the trustees who are the custodians of the investors' money.

The AMC is a service provider to the trust that manages the money for a fee – called AMC fee. The AMC must get all its plans and schemes approved by the trustees before they come to the market. AMCs will launch many schemes to attract investors. Think of it like a car company – it has a variety of car types on offer – from low-end to high-end.

A person who wants to buy a car will match his need for a car to the available car types. A city office goer may settle on a sedan to go to work and back home. A travel freak may choose to buy a four-wheel SUV for those weekend mountain trips. AMCs also launch various schemes and you, the investor, have to choose a scheme that matches your investment objective.

Hmmmm. New words. Investment objective. This is just the reason of your investment. And if you said the only reason was a 'good return', we clearly have work to do.

All this sounds great, but are they safe?

What is 'safe'? If you mean that your money will not be embezzled, as it was with Hoffland Finance or the emu schemes, or through so many other multilevel marketing scams like Home Trade, yes, your money is safe from the risk of fraud. It is safe from the sponsor running away with it.

A little bit of context. After the Harshad Mehta stock market scam in 1992, there was immense political pressure to put in place watertight rules for retail financial products. The mutual fund industry got liberalized in 1993, with the monopoly of UTI (Unit Trust of India) being broken by the private sector's entry. The rules of the road for private-sector participation ensured that the sponsors or the AMC could not run away with investors' money. Therefore, the money was held by a trust. The rules of trusts in India say that if found guilty, the trustees' personal assets can be attached and they can go to jail. No wonder that no mutual fund has run away with investors' money.

Your money is safe from being stolen. But your money is not safe from the ups and downs of the market – also called volatility. Mutual funds are market-